

# COUNTRY AND MARKET ANALYSIS

An abstract 3D graphic featuring a blue background with horizontal lines. A yellow line curves through the scene, surrounded by various 3D geometric shapes in blue, yellow, and green. The shapes include rectangular prisms, cylinders, and spheres, some of which are stacked or connected by the yellow line.

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# AGENDA

**Overview**

**Country Analysis**

**Market Analysis**

**Conclusions**



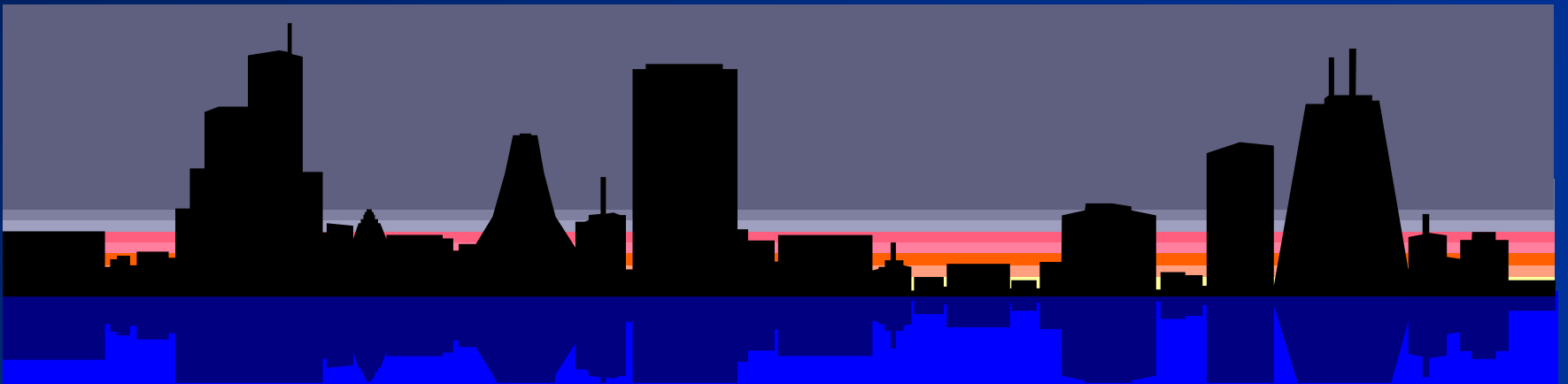
# Overview



# COMPONENTS OF GLOBAL BUSINESS ENVIRONMENT



# Country Analysis



# FRAMEWORK FOR COUNTRY ANALYSIS



# FRAMEWORK FOR COUNTRY ANALYSIS





# Strategy

- **Goals**

- Understand potential national goals and their relative priority
- Economic goals: GDP growth, low unemployment, stable prices
- Political goals: national power, re-election, stability, etc.
- Social goals: Education/health, income inequality, housing

- **Policies**

- Government actions to achieve national goals
- Include fiscal, monetary, trade, exchange rate, sectoral policies
- Include broad economic, political, and social policies
- Range from markets to the state to mobilize/allocate resources
- Examine patterns in the reliance of markets and governments to allocate resources – initial: governments; later: markets
- Has to do with a country's external or internal orientation
- Policies are related to context



# Context

- **Resources (national)**
  - Classify resources as follows:
    - Labor/human: working age #, their education and skill levels, etc
    - Physical: machinery and infrastructure
    - Capital/financial:
    - Natural resources: oil, timber, geographic location, etc
    - Technological: ability to use existing processes/to innovate
- **Players in the game** (with distinct interests and incentives)
  - Firms: have the direct link to resource allocation and use
  - Government actors: central banks, ministries, state firms, regulatory agencies, different branches of government, etc
  - Non-government actors: religious groups, labor organizations, employer associations, political parties, schools, etc



## Context (continued)

- **Rules of the game**

- Means rules underlying human interactions
- Formal rules: laws/regulations; economic(e.g., property rights, contract law) and political (federal system, separation of powers)
- Informal rules: culture, norms, religious belief, ideology

- **International**

- International organizations: WTO, IMF, WB, etc.
- Treaties on Trade and Investment
- International monetary systems, etc.



# Performance

- **Economic**
  - GDP, Prices (wages, interest rates, etc)
  - Inflation, unemployment, etc.
- **Social**
  - Income distribution
  - Fertility, mortality, literacy, etc.
- **Political**
  - Political stability, political freedom, etc.
- **International**
  - Balance of payments
  - Exchange rates, tariffs, quotas, etc

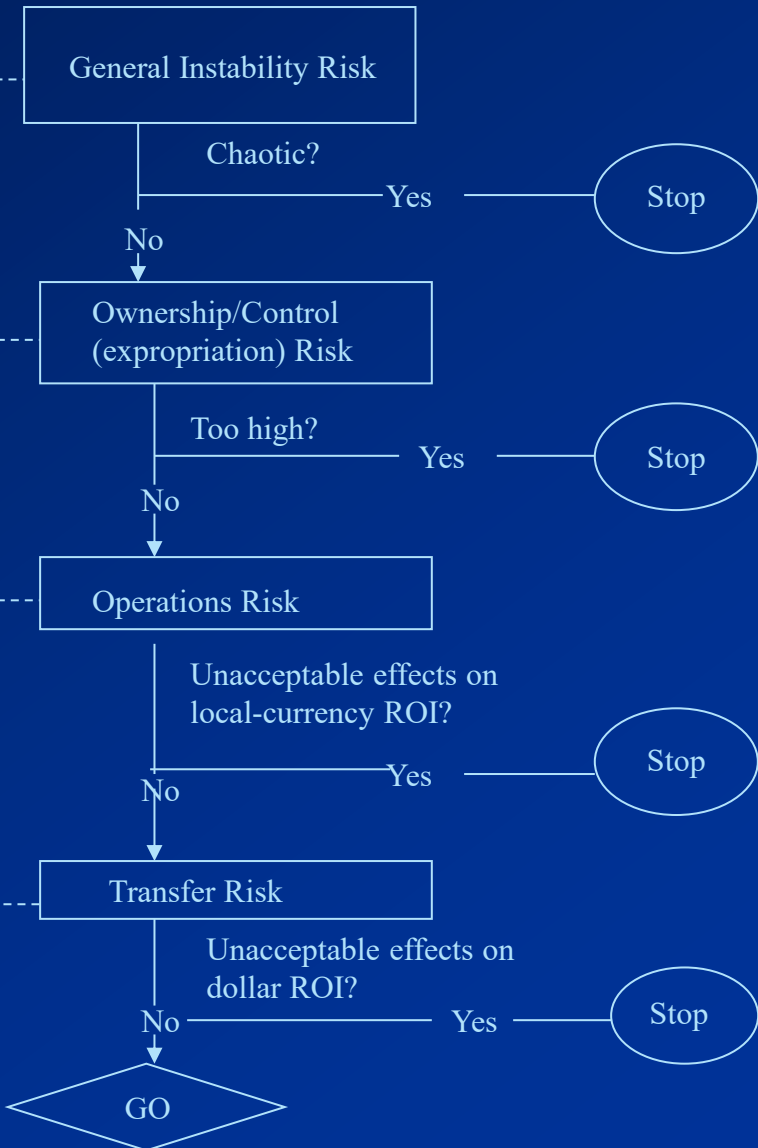
# COUNTRY POLITICAL RISK ANALYSIS

- Revolution?
- Subversion?
- Turmoil?
- External aggression?

- Nationalization?
- Intervention?
- Requisition?
- Coerced sale?
- Coerced contract renegotiation?
- Contract revocation?

- Import restrictions?
- Local content requirements?
- Taxation?
- Price control?
- Foreign staff limits?
- Labor codes/strikes?
- Export requirement?
- Discrimination?

- Restriction on repatriation of dividends, royalties, interest, fees, or capital?
- Exchange rates?



# Market Analysis





# MARKET ANALYSIS

- A starting point for managers in planning & evaluating marketing and business activities
- Analyze the structure and dynamics of an existing or potential market to do the following:
  - evaluate the current & future conditions of the market
  - gain insights into individual product performance relative to competitors
  - develop marketing & market entry strategies



# KEY QUESTIONS FOR MARKET ANALYSIS

- How large is the market for the product at hand? Growing? Why?
- What are the major driving forces of demand for the product?  
Is demand consistent or cyclical over time?
- Can the market be segmented, and, if so, along what dimensions?
- What are the characteristics of customers in the market?
- At what stage in the product life cycle is this market?
- How is the channel environment in the market?
- How is the marketing infrastructure for the market?
- Who are the competitors serving this market? What are their market shares? How and why have these shares been changing?
- Are there major customer needs/wants not being satisfied?

# Market Size & Growth

- What is the size of the market? Is it growing or shrinking? Why?
- The varying market definition makes it hard to determine its size.
  - Audio equipment - Tape recorder - Portable tape recorder
- Too narrow definition: miss opportunities & ignore threats
- Too broad definition: no basis for market evaluation for planning
- Assessing the market size can be done in different ways.
- Industry/market data are available through government statistical publications or trade association.
- Estimates can also be purchased from professional research firms (e.g., Nielsen)
- Market estimates vary widely across sources. So it is important to evaluate the credibility of sources.

# Determinants and Variations of Demand

- What are the major driving forces of demand for the product?  
Is demand consistent or cyclical over time?
- Examining the broad trend of demand patterns over time and forecasts for the future is also necessary.
- The determinants of demand may be disposable income levels, life style changes, technical advances, economic expectations, etc.
- The demand for a product can create the demand for a related one.
  - demand for jet aircraft: demand for jet engines
- Legislation is another determinant for demand.
  - change in fire regulations: demand for fire detection devices
- The demand for many products is seasonal. It is important to make seasonal adjustments for determining the overall trend of the market.
- Variations in demand is important for planning future strategy.



# Market Segmentation

- Can the market be segmented, and, if so, along what dimensions?
- Dividing a market into meaningful buyer groups to create specific marketing programs for one or more of the resulting segments
- Exists between market aggregation and market disaggregation
- Three assumptions
  - Consumers are different
  - Differences in customers lead to differences in market behavior.
  - Segments of consumers can be isolated within the overall market.
- Benefits of Market segmentation
  - A more precise definition of market in terms of group needs and possible ways of influencing behavior
  - Improved ability to identify competitive strengths & weaknesses
  - Efficient allocation of limited resources to develop programs that best satisfy the needs of target segments

# Market Segmentation (continued)

- Criteria for segmentation
  - Geographic areas(where customers live or purchase the product)
  - Demographic characteristics(sex, age, income level, education level, stage in the family life cycle, etc.)
  - Consumption volume or size of unit purchase
  - Psychographics(variations in customers' needs resulting from lifestyle or personality characteristics)
  - Product attributes(e.g., size, price range, portability, etc.)
- Can segment the market along one or two or more criteria / dimensions
- If a firm is competing in a segment, it is more useful to consider its market share in the segment only, rather than the overall market.



# Customer Characteristics

- What are the characteristics of customers in the market?
- Sophistication of the customers
- Customer needs and preferences
- Demographic characteristics of customers
  - Sex
  - Age
  - Income level
  - Education level, etc.

# Product Life Cycle

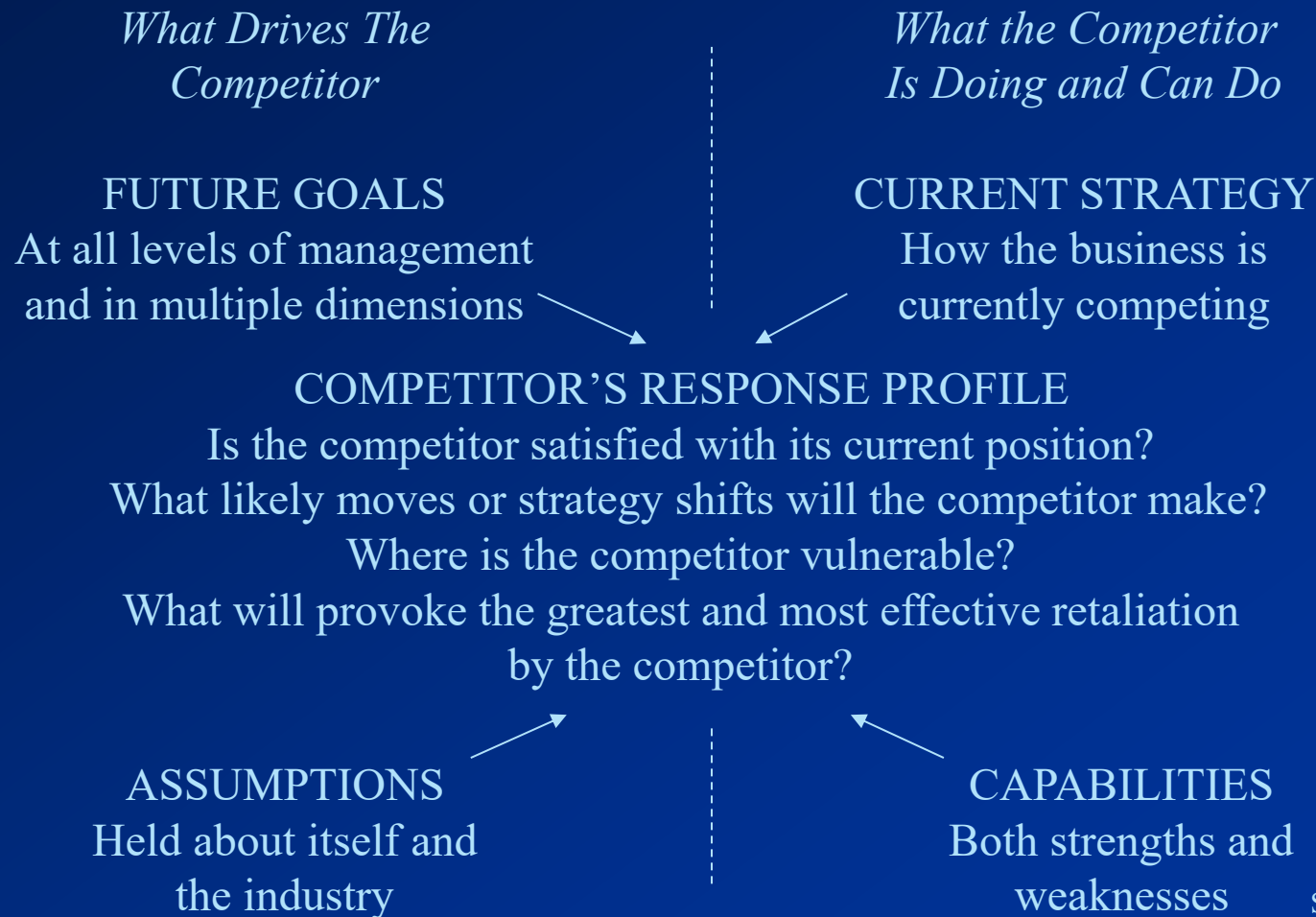
- At what stage in the product life cycle is this market?
- The different stages of PLC have varying potential for stimulating demand
  - Introduction: slow increase
  - Growth: fast increase
  - Maturity: slow increase
  - Decline: slow/fast decrease
- The different stages of PLC tend to have different sets of effective strategies
  - Introduction: capture the early mover advantage (image & repu.)
  - Growth: pursue expansion strategy (secure capacity, etc.)
  - Maturity: manage rivalry and deter entry; manage costs
  - Decline: slow/fast decrease: leadership, niche, or harvest
- Fragmented market vs. consolidated market

# Channel Environment & Marketing Infrastructure

- How is the channel environment in the market?
  - Type of channel: wholesalers, retailers, etc.
  - Channel competition
  - Length of channel
  - Channel quality
- How is the marketing infrastructure for the market?
  - Media availability
  - Cost of media
  - Legal constraints

# Competitors

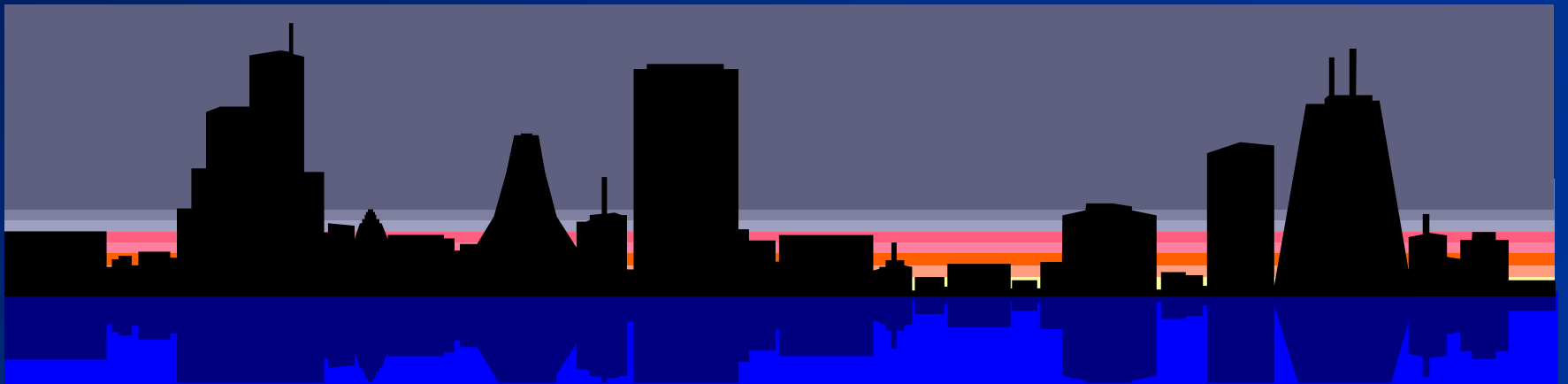
- Who are the competitors serving the market? What are their market shares? How and why have these shares been changing?



Source: Porter (1980)



# CONCLUSIONS





# CONCLUSIONS

- Country and market are the important components of global business environment.
- Country analysis builds a picture of national business environment and determines the attractiveness of a nation for business by examining strategy, context, and performance.
- Market analysis helps managers to assess the structure and dynamics of an existing or potential market for the following:
  - evaluating the current & future conditions of the market
  - gaining insights into individual product performance relative to competitors
  - developing marketing & market entry strategies